

CANADA BREAD COMPANY, LIMITED

SECOND QUARTERLY REPORT

1998



CANADA BREAD COMPANY, LIMITED

REPORT TO SHAREHOLDERS:

Pro forma sales (see note 1) for the second quarter of $129 million compare to $133 million last year. Sales of frozen bakery and pasta products improved over last year, however, fresh bakery sales continued to be affected by disruption caused by route franchising in the West, and the combination of the three regionally based fresh bakeries into a national bakery. We are disappointed with the earnings for this quarter, as the improvements expected from these initiatives have not been realized as quickly as we would like. However, we do believe that these initiatives are important in ensuring that the fresh bakery organization builds a strong base for improved results in the future. We continue to actively work on these and other initiatives and expect improvement in results towards the end of the year.

Net earnings for the quarter of $4.5 million ($0.21 per share) compare to $5.9 million ($0.28 per share) last year. The year to date results include the effect of a special charge of $9.4 million after tax recorded in the first quarter. The 1997 results include a profit on the sale of Brooklyn Bagel Boys, Inc. of $4 million in the first quarter. Net earnings for the year to date, excluding the special charge this year and the profit on the sale of Brooklyn Bagel Boys last year, were $7 million ($0.33 per share) compared to $9.1 million ($0.43 per share) last year.

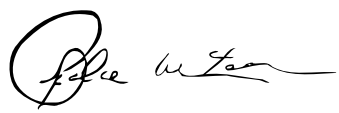
Operating earnings were negatively affected by the reorganization of the fresh bakeries. In addition, net earnings for the quarter were affected by poor results recorded by Multi-Marques Inc., owned 25% by Canada Bread. Reduced earnings by Multi-Marques accounted for $0.04 per share of the decrease in net earnings for the quarter.

During the quarter the Company announced the planned closures of its Winnipeg, Manitoba and Berwick, Nova Scotia manufacturing facilities. Production from these bakeries will be consolidated into existing facilities which will result in improved manufacturing efficiencies.

The Company declared a quarterly dividend of $0.06 per share payable October 1, 1998, to shareholders of record September 14, 1998.

For the Board of Directors,





David H. Lees
President and Chief Executive Officer

Archibald D. McLean
Chairman

CONSOLIDATED STATEMENTS OF EARNINGS

(In thousands of Canadian dollars, except per share amounts) (Unaudited)	13 WEEKS ENDED June 27, 1998	12 WEEKS ENDED June 14, 1997	13 WEEKS Pro-Forma(1) 1997	26 WEEKS ENDED June 27, 1998	24 WEEKS ENDED June 14, 1997	26 WEEKS Pro-Forma(1) 1997
Sales	**$129,156**	**$122,010**	**$133,181**	**$248,149**	**$233,567**	**$254,050**
Earnings from operations, before unusual items	**6,980**	**8,210**	**9,253**	**10,189**	**12,610**	**14,232**
Unusual items	0	0	0	(14,401)	0	0
Earnings (loss) from operations	**6,980**	**8,210**	**9,253**	**(4,212)**	**12,610**	**14,232**
Other Income	674	1,369	1,431	1,558	2,153	2,215
Gain on sale of business	0	0	0	0	6,300	6,300
Earnings (loss) before interest and taxes	**7,654**	**9,579**	**10,684**	**(2,654)**	**21,063**	**22,747**
Interest expense	561	391	434	1,027	700	775
Earnings (loss) before income taxes	**7,093**	**9,188**	**10,250**	**(3,681)**	**20,363**	**21,972**
Income taxes	2,634	3,197	3,712	(1,220)	7,211	7,924
Earnings (loss) before minority interest	**4,459**	**5,991**	**6,538**	**(2,461)**	**13,152**	**14,048**
Minority interest	(2)	(8)	(8)	(6)	(12)	(13)
Net earnings (loss) for the period	**$4,457**	**$5,983**	**$6,530**	**($2,467)**	**$13,140**	**$14,035**
Earnings (loss) per share	**$0.21**	**$0.28**	**$0.31**	**($0.12)**	**$0.62**	**$0.66**
Dividends per share declared	**$0.06**	**$0.06**	**$0.06**	**$0.12**	**$0.12**	**$0.12**
Weighted average number of shares (millions)	**21.4**	**21.4**	**21.4**	**21.4**	**21.3**	**21.3**

CONSOLIDATED STATEMENTS OF CHANGES IN FINANCIAL POSITION

(In thousands of Canadian dollars) (Unaudited)	13 WEEKS ENDED June 27, 1998	12 WEEKS ENDED June 14, 1997	26 WEEKS ENDED June 27, 1998	24 WEEKS ENDED June 14, 1997
CASH PROVIDED BY (USED IN):				
OPERATING ACTIVITIES				
Net earnings (loss) for the period	$4,457	$5,983	($2,467)	$13,140
Add (deduct) items not affecting cash:				
Depreciation	3,677	3,462	7,591	6,872
Amortization	711	535	1,379	1,069
Equity earnings from an associated company	1,305	925	455	100
Minority interest	2	8	6	12
Gain on sale of business	0	0	0	(4,000)
Non-cash amounts included in unusual items	0	0	9,423	0
Changes in non-cash working capital	2,756	(2,330)	(9,907)	(7,510)
	12,908	8,583	6,480	9,683
FINANCING ACTIVITIES				
Increase in share capital	61	89	370	521
Dividends paid	(1,283)	(1,282)	(2,566)	(2,562)
Dividends paid to minority interest	0	0	0	(14)
Increase in (repayment of) long-term debt	(6,016)	2,998	4,238	(14,447)
Repayment of debt to parent company	0	0	0	(3,531)
	(7,238)	1,805	2,042	(20,033)
INVESTING ACTIVITIES				
Additions to property and equipment, net	(4,091)	(11,673)	(7,275)	(19,462)
Disposal of net assets of businesses	0	0	0	29,929
	(4,091)	(11,673)	(7,275)	10,467
Net increase (decrease) in cash for the period	**1,579**	**(1,285)**	**1,247**	**117**
Bank indebtedness, beginning of period	(5,913)	(3,389)	(5,581)	(4,791)
Bank indebtedness, end of period	**($4,334)**	**($4,674)**	**($4,334)**	**($4,674)**

(1) In 1998, the company changed its reporting periods to four 13 week quarters. To enable an appropriate comparison of results, comparative amounts reflecting this change have been shown as Pro-Forma in the statement of earnings.

CONSOLIDATED BALANCE SHEETS

(In thousands of Canadian dollars) (Unaudited)	As at June 27, 1998	As at June 14, 1997
ASSETS		
Current assets:		
Accounts receivable	$43,989	$44,436
Due from related company	4,192	4,169
Inventories	13,747	14,112
Income taxes recoverable	4,426	0
Prepaid expenses	3,789	4,419
	70,143	67,136
Investment in associated company	**44,668**	**42,368**
Property and equipment	**159,926**	**142,146**
Goodwill	**76,933**	**79,861**
	$351,670	**$331,511**
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Bank indebtedness	$4,334	$4,674
Accounts payable and accrued charges	62,762	59,674
Dividends payable	1,285	1,283
Income taxes payable	0	2,298
Current portion of long-term debt	177	191
	68,558	68,120
Long-term debt	**35,130**	**25,990**
Deferred income taxes	**20,179**	**20,766**
Minority interest	**96**	**80**
Shareholders' equity	**227,707**	**216,555**
	$351,670	**$331,511**